To: Minister of Labor and Social Security
From: Aimee Soto
Subject: Recommendation for PATH Evaluation

Executive Summary

The PATH (Programme Advancement through Health and Education) program aims to link social assistance with human capital accumulation. The program also seeks to improve the targeting of welfare benefits by gathering comprehensive information about applicants and ranking them by poverty level. Arguably, the most important aspect of a program is how it is evaluated, meaning how we measure its impact. The goal of a proper evaluation method is to identify causality between the input (implemented policy program) and the impact (the policy outcome). The best way to achieve this is to establish a counterfactual. This is the comparison group that will represent what would have occurred if the policy intervention had not happened. The comparison group needs to be identical to the treatment group, in that their only difference should be participation in the program. The method I recommend that best follows these guidelines is Design 2; this design relies on the assumption that applicants scoring around the eligibility cutoff are similar in observable and unobservable characteristics and mimics randomization.

Recommendation - Design 2

The PATH program scores applicants and therefore has a clear cutoff between eligible applicants and non-eligible applicants. Design 2 asks that the treatment group consist of applicants below the eligibility threshold (eligible for the program), and the comparison group consist of applicants above the eligibility threshold (not eligible for the program). This design aspect ensures there is no selection bias in the study. Selection bias occurs when comparing participants who chose to participate in the intervention/policy with those who chose not to. Selection bias says participants are different from those who chose not to participate, or in this case, those who chose not to apply for the PATH program and those who did apply. Any difference in outcomes may be the result of those different characteristics between the treatment and comparison groups. Finally, Design 2 utilizes regression analysis much like Designs 1 and 3; however, Design 2 also statistically controls for individual characteristics and the eligibility scores. Neither of the other designs includes this component, and it is essential to ensure near-identical treatment and comparison groups.

Counter Arguments - Strengths and Weaknesses of Designs 1 and 3

It is important to consider the strengths of the other designs and consider why they may not work in the PATH evaluation. Randomization is the gold standard for evaluation, and Design 3 calls for randomization in selecting treatment and comparison groups. However,
Design 3 suggests that both treatment and comparison groups should consist of randomly ineligible individuals who scored above the poverty threshold. Therefore, allowing only some ineligible Jamaicans to participate in the program. I would not move forward with this design due to the ethical implications of allowing some, but not others in the same situation, access to the PATH program. Additionally, Design 2 mimics randomization in its own way while remaining ethical, as previously mentioned. Next, large data samples are another pillar of effective evaluations. Design 1 suggests creating a comparison group using data from the 2002 Jamaica Survey of Living Conditions (SLC) to identify households similar to the treatment group of PATH participants. This would allow for a large dataset for evaluation comparison; however,

the comparison group coming from outside PATH applications introduces selection bias, as previously described.